Arista Networks Inc ANET ★★★

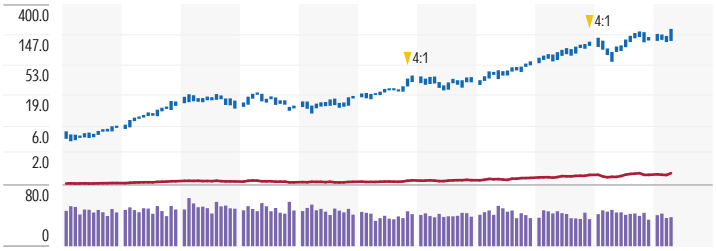
ESG Risk Rating Assessment[1]

27-Sep-2025

Arista Networks is a networking equipment provider that primarily sells Ethernet switches and software to data centers. Its marquee product is its extensible operating system, or EOS, that runs a single image across every single one of its devices. The firm operates as one reportable segment. It has steadily gained market share since its founding in 2004, with a focus on high-speed applications. Arista counts Microsoft and Meta Platforms as its largest customers and derives roughly three quarters of its sales from North America.

Fair Value	Uncertainty	Economic Moat	Sector	Style	Market Cap (Mil)	Sales (Mil)	Last Close
$175.00	High	Wide	Technology	Large Growth	208,128	9,006	165.29

	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	YTD
High	6.18	15.35	19.59	20.70	18.36	37.14	36.13	60.17	116.94	164.94	179.80
Low	3.28	5.46	11.69	10.83	9.79	16.38	22.28	26.89	56.65	59.43	115.42



10 Yr Range(High/Low)
179.80-3.28

52 Wk Range (High/Low)
179.80-76.88

Price Volatility
- Monthly High/Low
- Rel Strength to S&P 500
- Split

Trading Volume (Million)

Stock Performance	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	YTD
Total Return %	24.3	143.4	-10.6	-3.5	42.9	97.9	-15.6	94.1	87.7	18.5	26.1
+/- Market	12.4	121.6	-6.2	-35.0	24.5	69.2	2.5	67.8	62.7	0.7	21.5
+/- Industry	9.2	102.7	3.6	-18.4	25.6	57.8	14.9	27.7	45.4	-26.9	-39.0
Dividend Yield %	—	—	—	—	—	—	—	—	—	—	—
Market Cap $Mil	6794	17221	15943	15538	22134	44229	37081	73267	139415	164639	208128

Financials (USD)	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	TTM
Revenue $Mil	1129	1646	2151	2411	2318	2948	4381	5860	7003	9006	9006
Gross Margin %	64.0	64.5	63.8	64.1	63.9	63.8	61.1	62.0	64.1	64.1	64.1
Oper Income $Mil	243	470	678	806	700	925	1527	2257	2945	3856	3856
Operating Margin %	21.6	28.6	31.5	33.4	30.2	31.4	34.9	38.5	42.1	42.8	42.8
Net Income $Mil	184	423	328	860	635	841	1352	2087	2852	3511	3511
Earnings Per Share $	0.16	0.33	0.25	0.66	0.50	0.66	1.07	1.65	2.23	2.75	2.75
Dividends $	—	—	—	—	—	—	—	—	—	—	—
Shares Mil	1172	1264	1294	1294	1271	1277	1266	1269	1281	1276	1276
Book Value Per Share $	0.89	1.29	1.61	2.17	2.53	3.14	3.57	5.21	7.33	9.48	9.82
Oper Cash Flow $Mil	174	632	503	963	735	1016	493	2034	3708	4372	4372
Cap Spending $Mil	-21	-15	-24	-16	-15	-65	-45	-34	-32	-120	-120
Free Cash Flow $Mil	153	616	479	947	720	951	448	2000	3676	4252	4252

Profitability	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	TTM
Return on Assets %	12.7	20.2	11.8	23.7	14.2	16.1	21.6	25.0	23.8	21.0	21.0
Return on Equity %	19.3	30.5	17.2	34.1	20.4	23.0	30.5	34.5	33.1	31.4	31.4
Asset Turnover	0.78	0.79	0.78	0.66	0.52	0.56	0.70	0.70	0.58	0.54	0.54
Net Margin %	16.2	25.7	15.2	35.7	27.4	28.5	30.9	35.6	40.7	39.0	39.0
Financial Leverage	1.6	1.5	1.4	1.4	1.4	1.4	1.4	1.4	1.4	1.6	1.6

Financial Health (USD)	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	12-25
Long-Term Debt $Mil	—	—	—	—	—	—	—	—	—	—	—
Total Equity $Mil	1108	1662	2143	2895	3320	3979	4886	7219	9995	12371	12371
Debt/Equity	0.04	0.02	0.02	0.03	0.02	0.01	—	—	—	—	—
Working Capital $Mil	1067	1737	2108	2875	3069	3703	4257	6481	9179	11011	11011

Valuation	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	TTM
Price/Earnings	41.8	48.5	64.9	21.4	32.6	58.5	33.1	39.2	53.2	49.8	60.1
P/E vs. Market	—	—	0.0	0.0	0.0	0.0	—	—	0.0	0.0	2.3
Price/Sales	6.7	12.1	8.4	6.7	10.4	16.5	9.8	13.3	21.4	19.8	23.4
Price/Book	6.8	11.4	8.2	5.9	7.2	11.4	8.5	11.3	15.1	13.8	16.8
Price/Cash Flow	36.0	38.8	43.5	17.7	26.5	46.9	56.8	48.1	44.1	40.5	48.2

Growth Rates (Compound Annual)

Grade: A	1 Yr	3 Yr	5 Yr	10 Yr
Revenue %	28.6	27.2	31.2	26.8
Operating Income %	31.0	36.2	40.7	38.4
Earnings/Share %	23.3	37.0	40.6	38.7
Dividends %	—	—	—	—
Book Value/Share %	24.3	35.2	29.3	29.8
Stock Total Return	111.1	60.4	52.5	44.7
+/- Industry	-77.2	-11.0	18.1	17.4
+/- Market	80.3	39.1	39.6	29.6

Profitability Analysis

Grade: A	Current	5 Yr Avg	Ind	Mkt
Return on Equity %	31.4	30.5	40.6	34.8
Return on Assets %	21.0	21.5	7.5	17.3
Revenue/Employee $K	1760.6	1400.5	—	0.0
Fixed Asset Turns	59.7	49.8	14.0	—
Inventory Turns	1.6	1.6*	5.8	—
Gross Margin %	64.1	63.0	24.0	—
Operating Margin %	42.8	37.9	9.0	—
Net Margin %	39.0	34.9	6.7	23.4
Free Cash Flow/Rev %	47.2	35.3	9.0	—
R&D/Rev %	13.7	15.8	4.7	—

Financial Position (USD)

Grade: B	12-24 $Mil	12-25 $Mil
Cash	2762	1964
Inventories	1835	2247
Receivables	1141	1887
Current Assets	11911	16387
Fixed Assets	99	203
Intangibles	269	416
Total Assets	14044	19449
Payables	381	652
Short-Term Debt	—	0
Current Liabilities	2732	5377
Long-Term Debt	—	—
Total Liabilities	4049	7078
Total Equity	9995	12371

Valuation Analysis

	Current	5 Yr Avg	Ind	Mkt
Price/Earnings	60.1	41.9	52.2	25.8
Forward P/E	46.7	—	—	—
Price/Cash Flow	48.2	46.0	31.3	18.3
Price/Free Cash Flow	49.6	48.0	38.4	—
Dividend Yield %	—	—	0.4	1.5
Price/Book	16.8	10.7	20.7	4.8
Price/Sales	23.4	14.2	3.4	—
PEG Ratio	2.3	—	—	—

*3Yr Avg data is displayed in place of 5 Yr Avg

Quarterly Results (USD)

Revenue $	Mar	Jun	Sep	Dec
Most Recent	2004.0	2204.0	2308.0	2487.0
Previous	1571.0	1690.0	1810.0	1930.0
Rev Growth %	**Mar**	**Jun**	**Sep**	**Dec**
Most Recent	27.6	30.4	27.5	28.9
Previous	16.3	15.9	20.0	25.3
Earnings Per Share $	**Mar**	**Jun**	**Sep**	**Dec**
Most Recent	0.64	0.70	0.67	0.75
Previous	0.50	0.52	0.58	0.62

Close Competitors

	Mkt Cap $Mil	Rev $Mil	P/E	ROE%
NVIDIA Corp	5180031	215938	43.5	101.5
Cisco Systems Inc	343088	59054	31.2	23.8

Major Fund Holders

	% of shares
KODEX S&P500	0.01
TIGER S&P500	0.00
GS netWIN Technology Equity MF	0.00

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[1]The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

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